Name:
Score: 32 / 35 points (91%)

Chapter 26 Mankiw/Taylor, Economics

True/False
Indicate whether the sentence or statement is true or false.

F 1. When a business firm sells a bond, it has obtained equity finance.

ANSWER: F
POINTS: 1 / 1

T 2. People who buy shares in a firm have loaned money to the firm.

ANSWER: F
POINTS: 0 / 1

T 3. Investment funds reduce a shareholder's risk by purchasing a diversified portfolio.

ANSWER: T
POINTS: 1 / 1

T 4. UK government bonds pay less interest than corporate bonds issued by UK companies because the government bonds carry less credit risk.

ANSWER: T
POINTS: 1 / 1

T 5. In a closed economy, saving is what remains after consumption expenditures and government purchases.

ANSWER: T
POINTS: 1 / 1

F 6. Public saving is always positive.

ANSWER: F
POINTS: 1 / 1

T 7. In a closed economy, investment is always equal to saving regardless of where the saving came from - public or private sources.

ANSWER: T
POINTS: 1 / 1

T 8. Investment is the purchase of capital equipment and structures.

ANSWER: T
POINTS: 1 / 1

F 9. If you save money this week and lend it to your flatmate to buy food for consumption, your act of personal saving has increased national saving.

ANSWER: F
POINTS: 1 / 1

F 10. The quantity supplied of loanable funds is greater if real interest rates are higher.

ANSWER: T
POINTS: 0 / 1

_F_ 11. If the real interest rate in the loanable funds market is temporarily held above the equilibrium rate, desired borrowing will exceed desired lending and the real interest rate will fall.

ANSWER: F
POINTS: 1 / 1

_T_ 12. A reduction in the budget deficit should shift the supply of loanable funds to the right, lower the real interest rate, and increase the quantity demanded of loanable funds.

ANSWER: T
POINTS: 1 / 1

_F_ 13. Public saving and the government's budget surplus are the same thing.

ANSWER: T
POINTS: 0 / 1

_F_ 14. If the government wanted to increase the rate of growth, it should raise taxes on interest and dividends to shift the supply of loanable funds to the right.

ANSWER: F
POINTS: 1 / 1

_F_ 15. An increase in the budget deficit that causes the government to increase its borrowing shifts the demand for loanable funds to the right.

ANSWER: F
POINTS: 1 / 1

Multiple Choice
Identify the letter of the choice that best completes the statement or answers the question.

_E_ 16. Which of the following is an example of equity finance?
a. Corporate bonds
b. Bank loan
c. All of these answers are equity finance.
d. Government bonds
e. Company shares

ANSWER: E
POINTS: 1 / 1

_A_ 17. Credit risk refers to a bond's
a. probability of default.
b. price-earnings ratio.
c. dividend.
d. tax treatment.
e. term to maturity.

ANSWER: A
POINTS: 1 / 1

_C_ 18. A financial intermediary is a middleperson between
a. buyers and sellers.
b. husbands and wives.
c. borrowers and lenders.

d. labour unions and firms.

ANSWER: C
POINTS: 1 / 1

_C_ 19. National saving (or just saving) is equal to
a. none of these answers.
b. investment + consumption expenditures.
c. private saving + public saving.
d. GDP - government purchases.
e. GDP + consumption expenditures + government purchases.

ANSWER: C
POINTS: 1 / 1

_B_ 20. Which of the following statements is true?
a. Long-term bonds tend to pay less interest than short-term bonds.
b. Government bonds pay less interest than comparable corporate bonds.
c. Investment funds are riskier than single stock purchases because the performance of so many different firms can affect the return of a mutual fund.
d. A stock index is a directory used to locate information about selected stocks.

ANSWER: B
POINTS: 1 / 1

_A_ 21. If government spending exceeds tax collections,
a. there is a budget deficit.
b. none of these answers
c. there is a budget surplus.
d. private saving is positive.
e. public saving is positive.

ANSWER: A
POINTS: 1 / 1

_E_ 22. If GDP = €1,000, consumption = €600, taxes = €100, and government purchases = €200, how much is saving and investment?
a. saving = €300, investment = €300
b. saving = €200, investment = €100
c. saving = €100, investment = €200
d. saving = €0, investment = €0
e. saving = €200, investment = €200

ANSWER: E
POINTS: 1 / 1

_A_ 23. If the public consumes €100 billion less and the government purchases €100 billion more (other things unchanging), which of the following statement is true?
a. Saving is unchanged.
b. There is an increase in saving and the economy should grow more quickly.
c. There is a decrease in saving and the economy should grow more slowly.
d. There is not enough information to determine what will happen to saving.

ANSWER: A
POINTS: 1 / 1

_A_ 24. Which of the following financial market securities would probably pay the highest interest rate?
a. A bond issued by a start up company
b. A government bond issued by the government of France.

c. A bond issued by a blue chip company
d. An investment fund with a portfolio of corporate bonds issued by blue chip companies.

ANSWER: A
POINTS: 1 / 1

B 25. Investment is
a. the purchase of goods and services.
b. the purchase of capital equipment and structures.
c. when we place our saving in the bank.
d. the purchase of stocks and bonds.

ANSWER: B
POINTS: 1 / 1

A 26. If UK citizens become more thrifty, we would expect
a. the supply of loanable funds in the UK loanable funds market to shift to the right and the real interest rate to fall.
b. the demand for loanable funds in the UK loanable funds market to shift to the right and the real interest rate to rise.
c. the demand for loanable funds in the UK loanable funds market to shift to the right and the real interest rate to fall.
d. the supply of loanable funds in the UK loanable funds market to shift to the right and the real interest rate to rise.

ANSWER: A
POINTS: 1 / 1

A 27. Which of the following sets of government policies is the most growth oriented?
a. Lower taxes on the returns to saving, provide investment tax credits, and lower the deficit.
b. Increase tax on the returns to saving, provide investment tax credits, and increase the deficit.
c. Increase tax on the returns to saving, provide investment tax credits, and lower the deficit
d. Lower taxes on the returns to saving, provide investment tax credits, and increase the deficit.

ANSWER: A
POINTS: 1 / 1

D 28. An increase in the budget deficit that causes the government to increase its borrowing
a. shifts the supply of loanable funds to the right.
b. shifts the demand for loanable funds to the left.
c. shifts the demand for loanable funds to the right.
d. shifts the supply of loanable funds to the left.

ANSWER: D
POINTS: 1 / 1

A 29. An increase in the budget deficit will
a. raise the real interest rate and decrease the quantity of loanable funds demanded for investment.
b. lower the real interest rate and increase the quantity of loanable funds demanded for investment.
c. raise the real interest rate and increase the quantity of loanable funds demanded for investment.
d. lower the real interest rate and decrease the quantity of loanable funds demanded for investment.

ANSWER: A
POINTS: 1 / 1

_A_ 30. If the supply of loanable funds is very inelastic (steep), which policy would likely increase saving and investment the most?
a. a reduction in the budget deficit
b. an increase in the budget deficit
c. an investment tax credit
d. none of these answers

ANSWER: A
POINTS: 1 / 1

_D_ 31. An increase in the budget deficit is
a. an increase in public saving.
b. a decrease in private saving.
c. none of these answers.
d. a decrease in public saving.
e. an increase in private saving.

ANSWER: D
POINTS: 1 / 1

_C_ 32. If an increase in the budget deficit reduces national saving and investment, we have witnessed a demonstration of
a. intermediation.
b. equity finance.
c. crowding out.
d. the investment fund effect.

ANSWER: C
POINTS: 1 / 1

_A_ 33. If UK citizens become less concerned with the future and save less at each real interest rate,
a. real interest rates rise and investment falls.
b. real interest rates rise and investment rises.
c. real interest rates fall and investment rises.
d. real interest rates fall and investment falls.

ANSWER: A
POINTS: 1 / 1

_C_ 34. If the government increases investment tax credits and reduces taxes on the return to saving at the same time,
a. the real interest rate should fall.
b. the real interest rate should rise.
c. the impact on the real interest rate is indeterminate.
d. the real interest rate should not change.

ANSWER: C
POINTS: 1 / 1

_B_ 35. An increase in the budget surplus
a. shifts the supply of loanable funds to the left and increases the real interest rate.
b. shifts the supply of loanable funds to the right and reduces the real interest rate.
c. shifts the demand for loanable funds to the right and increases the real interest rate.
d. shifts the demand for loanable funds to the left and reduces the real interest rate.

ANSWER: B

POINTS: 1 / 1

Retake